

India had effectively placed all investment from land-border countries behind a security wall, requiring prior government approval under Press Note 3 of 2020. That began to change on March 10, with Press Note 2 of 2026, followed by the FEMA (Non-Debt Instruments) Amendment Rules notified on May 1 and June 12. Together, these instruments replace the blanket screening regime with a calibrated, ownership-based test. What this means is that foreign investor entities from land-border countries, mainly China, holding up to 10 per cent non-controlling beneficial ownership, can now use the automatic route, subject to sectoral rules. A 60-day decision timeline has been introduced for specified manufacturing areas such as electronic components, capital goods and solar cells. It is a calibrated relaxation, not an open door, because entities actually incorporated in China or Hong Kong themselves still generally require government approval.

Experts says the strategic logic is that since restricting Chinese capital did little to prevent Chinese imports from surging, Delhi is now testing whether it makes better sense to have Chinese companies invest and manufacture in India rather than simply import from them. By August this year, the revised framework saw 29 FDI proposals worth around $500 million (Rs 4,895 crore) spanning information technology, artificial intelligence and communications. Kantha calls for "engagement with guardrails"—more trade and investment where it benefits India, but no black-box approach to technology transfer. 'Make in India' should not become assembly in India, with the critical technology and supply chain still firmly in Chinese hands.

MIND THE GAPS

The most visible, and arguably most fragile, dimension of the new equation is the slow reopening of movement between the two countries. Direct flights, suspended for five years after the pandemic and the border crisis, began returning in October 2025 when IndiGo restarted its Kolkata-Guangzhou route, followed by China Eastern's Shanghai-Delhi service and, most recently, China Southern's announcement, made pointedly just before the Modi-Xi meeting, that it would resume Guangzhou-New Delhi flights from September 21.

Visa processes have eased in parallel: China began offering Indian nationals an online visa application from December 2025, tapping into what the *South China Morning Post* has estimated as a $21.6 billion (Rs 2.07 lakh crore) Indian travel market, while India resumed tourist visas for Chinese citizens after its own five-year suspension. The Kailash Mansarovar Yatra, revived in 2025 after a similar gap, ran for a second consecutive year in the summer of 2026 across both the Lipulekh and Nathu La routes.



"ECONOMIC ENGAGEMENT WITH CHINA SHOULD HAVE GUARDRAILS: MORE TRADE AND INVESTMENT BENEFITING INDIA, BUT NO BLACK-BOX APPROACH TO TECH TRANSFER"

ASHOK KANTHA, *Former ambassador to China*

Tangen argues that this dimension of the relationship is not merely symbolic but foundational, because the relationship "cannot ultimately be stabilised by armies, diplomats and businessmen alone". Galwan did harden Indian public attitudes towards China and that hostility has not receded. Meanwhile, Chinese understanding of India's politics, culture and complexities, in Tangen's assessment, remains shallow as does Indian understanding of China. That gap matters because even if the two governments eventually identify a politically acceptable boundary compromise, neither can implement one if its own public regards any concession as capitulation. That is why the new equation should be read as tentative, not accomplished. ■